SL. No.1

NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH
COURT HALL NO: II

Hearing Through: VC and Physical (Hybrid) Mode

CORAM: SHRI. RAJEEV BHARDWAJ – HON'BLE MEMBER (J)
CORAM: SHRI. SANJAY PURI - HON'BLE MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, HYDERABAD BENCH, HELD ON 20.01.2025 at 10:30 AM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	**CA (CAA) No.32/230/HDB/2024**
NAME OF THE COMPANY	**XL Health Corporation India Pvt Ltd (Transferor Co.) and Optum Global Solutions (India) Pvt Ltd (Transferee Co.)**
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	**230**

ORDER

Orders pronounced, recorded vide separate sheets. In the result, this Petition is allowed.

Sd/-
MEMBER (T)

Sd/-
MEMBER (J)

Apoorva

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH -II, HYDERABAD

CA (CAA) No.32/230/HDB/2024

IN THE MATTER OF SECTION 230 TO 232 OF THE COMPANIES ACT, 2013
SCHEME OF AMALGAMATION
OF
M/S. XLHEALTH CORPORATION INDIA PRIVATE LIMITED
(TRANSFEROR COMPANY)
AND
M/S. OPTUM GLOBAL SOLUTIONS (INDIA) PRIVATE LIMITED
(TRANSFEREE COMPANY)
AND
THEIR RESPECTIVE SHAREHOLDERS & CREDITORS

M/s. XLHealth Corporation India Private Limited,
Represented by Mr. Kuldeep Sharma, Authorized Signatory
having its registered Office at 303, Block A,
Legend Commercial Complex,
3-4-770 & 136A, Barkatpura,
Himayathnagar,
Hyderabad – 500 027,
Telangana, India.

…. Applicant/Transferor Company

M/s. Optum Global Solutions (India) Private Limited,
Represented by Mr. Kuldeep Sharma, Company Secretary,
having its registered Office at 5-7, Office Level,
Building No.14, Sundew Properties SEZ (Mindspace),
APIIC Layout, Survey No.64,
Rangareddi, Hitech City,
Madhapur, Hyderabad – 500 081,
Telangana, India.

….Applicant/Transferee Company

Date of Order: 20.01.2025

Coram:

Sri Rajeev Bhardwaj, Hon'ble Member (Judicial)
Sri Sanjay Puri, Hon’ble Member (Technical)

C.A. (CAA) No.32/230/HDB/2024

Date of Order: 20/01/2025

Counsel present:

For the Applicant Companies : Ms. Sindhuja Pothapragada, PCS, along with Mr. Shankar Viswanathan, PCS

[P E R : B E N C H]

O R D E R

(1) This Joint Application is filed under Section 230 of the Companies Act, 2013 (hereinafter referred to as "the Act, 2013"), read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016, by M/s. XLHealth Corporation India Private Limited, (hereinafter referred to as Transferor Company) and M/s. Optum Global Solutions (India) Private Limited (hereinafter referred to as Transferee Company). The Transferor Company and the Transferee Company are hereinafter collectively referred to as the 'Applicant Companies" and severally as "Applicant Company".

(2) This Joint Application is filed by the Applicant Companies under Section 230 read with 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 by inter-alia seeking dispensation of meetings of equity shareholders and creditors of the Applicant Companies for considering the Scheme of Amalgamation between the Applicant Companies and their respective shareholders, creditors so as to be binding on all the members, shareholders, creditors and employees of the Applicant Companies and all concerned.

(3) **Description of the Companies:**

i. **M/s. Optum Global Solutions (India) Private Limited** was incorporated as a Private Limited Company under the provisions of Companies Act, 1956 vide Corporate Identification Number (CIN) U72900TG2010-PTC067943 in the State of Telangana (Hereinafter referred to as the "Transferee Company").

ii. The Registered office of the Transferee Company is situated at 5-7, Office Level, Building No.14, Sundew Properties SEZ (Mindspace), APIIC

Layout, Survey No.64, Rangareddi, Hitech City, Madhapur, Hyderabad – 500 081, Telangana, India.

iii. The main objects of the Transferee Company are detailed on page Nos.3 to 6 of Volume 1.

iv. The Authorised Share Capital of the Transferee Company as per the Audited Balance Sheet as on 31.03.2024 is INR 205,625,000/- (Indian Rupees Two Hundred Five Million Six Hundred and Twenty-Five Thousand Only) divided into 20,562,500 (Twenty Million Five Hundred Sixty-Two Thousand and Five Hundred) Equity Shares of Rs.10/- (Indian Rupees Ten only) each.

The Issued, Subscribed and Paid-up Capital of the Transferee Company as per the Audited Balance Sheet as at 31.03.2024 is INR 14,702,610/- (Indian Rupees Fourteen Million Seven Hundred Two Million and Six Hundred and Ten Only) divided into 1,470,261 (One Million Four Hundred Seventy-Two Thousand and Sixty-One) Equity Shares of Rs.10/- (Indian Rupees Ten Only) each.

Subsequent to March 31, 2024, there has been change in the capital structure of the Transferee Company pursuant to the buyback of shares undertaken by the Transferee Company. Post buyback of shares, the current Issued, Subscribed and Paid-up Capital of the Transferee Company is INR 11,157,940/- (Indian Rupees Eleven Million One Hundred Fifty-Seven Thousand Nine Hundred and Forty Only) divided into 1,115,794 (One Million One Hundred Fifteen Thousand Seven Hundred and Ninety-Four) Equity Shares of Rs.10/- (Indian Rupees Ten Only) each.

The Transferee Company has 2 (two) Equity Shareholders as on September 30, 2024.

v. **M/s. XLHealth Corporation India Private Limited** was incorporated as a Private Limited Company under the provisions of Companies Act, 1956 vide Corporate Identification Number (CIN) U72200TS2007-

PTC189493 in the State of Karnataka and is currently situated in the State of Telangana (Hereinafter referred to as the "Transferor Company").

vi. The Registered office of the Transferor Company is situated at 303, Block-A, Legend Commercial Complex, 3-4-770 & 136A, Barkatpura, Himayathnagar, Hyderabad-500027, Telangana, India.

vii. The main objects of the Transferor Company is detailed on page No.2 of Volume 2.

viii. The Authorised Share Capital of the Transferor Company as per the Audited Balance Sheet as at March 31, 2024 (Thirty First day of March, Two Thousand and Twenty-Four) is INR 50,000,000/- (Indian Rupees Fifty Million Only) divided into 5,000,000 (Five Million) Equity Shares of INR 10/- (Indian Rupees Ten Only) each.

The Issued, Subscribed and Paid-up Capital of the Transferor Company as per the Audited Balance Sheet as at March 31, 2024 (Thirty-First day of March, Two Thousand and Twenty-Four) is INR 1,000,000/- (Indian Rupees One Million Only) divided into 100,000 (One Hundred Thousand) Equity Shares of INR 10/- (Indian Rupees Ten Only) each.

Subsequent to March 31, 2024, there has been no change in the capital structure of Transferor Company

The Transferor Company has 2 (two) Equity Shareholders as on September 27, 2024.

(4) **Jurisdiction of the Bench:**

The Applicant Companies submitted that the subject matter of this Joint Application is within the jurisdiction of this Bench as the Registered Offices of the Applicant Companies are situated at Hyderabad.

(5) **Limitation:**

The Applicant Companies hereby further declare that Section 230 and 232 have not laid any limitation in time for filing an application under the said

Sections. Hence, the present Joint Application is filed within the limitation period.

(6) **Facts of the Case**:

a. It is submitted that the Applicant Companies in this Joint Application proposes a Scheme of Amalgamation by way of absorption of the Transferor Company by the Transferee Company.

b. The Transferee Company has decided subject to necessary approvals and sanctions, to implement the amalgamation of the Transferor Company with the Transferee Company and have formulated a Scheme of Amalgamation and the proposed amalgamation will be for the benefit of both the companies involved in the amalgamation in the following manner:

i. More efficient utilization of financial, managerial and technical resources by accessing the common talent pool, resources and marketing and service delivery capabilities, which would result in cost efficiencies and consequently better growth opportunities for the combined entity thereby leading to better creation of shareholder value.
ii. Consolidation of India operations of the Transferor Company and Transferee Company to facilitate better management and focus over combined business operations.
iii. Drive synergies and economies of scale resulting from the merger which would result in the enhancement of the talent pool for providing better services to the customers of combines entity.
iv. Simplification of the corporate structure thereby eliminating corporate redundancies, such as duplicate work streams related to corporate governance, compliances and risk management, due to reduction in the number of operating entities and further creating operational and financial efficiencies.
v. Facilitate rebranding of India's consolidated business operations to align it with the "Optum" brand name which represents the service business segment of UnitedHealth Group Incorporated.
vi. Achievement of greater management focus and control over the combines business operations.

(Certified true copy of the resolutions of the Board of Directors of the Transferee Company passed on September 30, 2024 and Transferor Company passed on September 27, 2024 are at Annexure – A).

(7) Full details of the salient features of the Scheme of Amalgamation are given on page Nos.7 to 27 of Volume 1 and page Nos. 4 to 24 of Volume 2.

(8) **Transfer and vesting of the undertaking of Transferor Company and other Components of the Scheme of Amalgamation:**

It is submitted that :

Section – I

a) On the Effective Date, the Scheme shall be deemed to have come into force on and from the Appointed Date and the expression "Upon Coming into Force of the Scheme" shall be accordingly construed.

b) Upon Coming into Force of the Scheme, the Undertaking of the Transferor Company shall, without any further act, deed or order be transferred to and vested in or deemed to have been transferred to or vested in the Transferee Company in accordance with this Scheme in pursuance of Section 232 of the Act. Consequently, the Undertaking of the Transferor Company shall become an integral and indivisible part of the Transferee Company such that all properties, assets, rights, contracts, benefits, debts, liabilities, and obligations, whether present and/or future, pertaining to the Undertaking of the Transferor Company shall be the properties, assets, rights, contracts, benefits, debts, liabilities and obligations, whether present and/or future, of the Transferee Company.

c) Upon Coming into Force of the Scheme, all properties, assets, rights, contracts and benefits, whether present and/or future, comprised in the Undertaking of the Transferor Company shall, under the provisions of Section 232 of the Act, by virtue of the order of sanction of the Tribunal, without any further act. instrument or deed, be transferred to and vested

in and/or be deemed to be transferred to and vested in the Transferee Company so as to become as on the Appointed Date. properties, assets, rights, contracts and benefits, whether present and/or future of the Transferee Company.

d) Upon Coming into Force of the Scheme, all the debts, liabilities and obligations, whether present and/or future, comprised in the Undertaking of the Transferor Company shall also be and stand transferred to or be deemed to have been transferred, without any further act, instrument or deed, to the Transferee Company. pursuant to the provisions of Section 232 and other applicable provisions of the said Act so as to become as and from the Appointed Date, the debts, liabilities, duties, undertakings and obligations, whether present and/or future, of the Transferee Company and further that it shall not be necessary to obtain any further consent of any third party or other person who is a party to any contract or arrangement by virtue of which such debts, liabilities, duties and obligations have arisen in order to give effect to the provisions of this Clause.

e) Upon Coming into Force of the Scheme, claims, contracts, rights, orders, decrees, conditions, obligations in favour of or against the Transferor Company will continue to be pursued or undertaken or challenged as the Transferor Company would have pursued or undertaken or challenged had there not been this Amalgamation, without any filing or recording whatsoever as if the Transferee Company were to be the claimant, applicant or petitioner as the case may be and wherever the Transferor Company is a party, without any further act, deed or thing, in pursuance of the Scheme, the Transferee Company, shall, ipso facto, become the party in the same respect in which the Transferor Company was placed immediately before the Coming into Force of the Scheme.

f) Without prejudice to the above provisions, with effect from the Appointed Date, all transactions between the Transferor and Transferee Companies, if any, shall be considered a transactions within the Transferee Company and all inter- company balances as on the Appointed Date, if any, will be cancelled.

SECTION-II

a) Upon Coming into Force of the Scheme, to the extent that there are any loans, outstanding dues or balances due from the Transferor Company to the Transferee Company or vice versa, the obligations in respect thereof shall come to an end and corresponding effect shall be given in the books of accounts and records of the Transferee Company and there shall be no liability in this behalf by or from one company to another company.

SECTION-III

a) Upon Coming into Force of the Scheme, the Authorised Share Capital of the Transferor Company shall stand merged with and added to the Authorised Share Capital of the Transferee Company. However, if there arises a need to pay differential fee after setting off the fee already paid for the present Authorised Share Capital by the Transferor Company, then the Transferee Company shall pay the differential fee accordingly to effect increase of its Authorised Share Capital.

b) Upon Coming into Force of the Scheme, the Transferee Company shall issue to Eligible Shareholders of the Transferor Company its fully paid-up equity shares in accordance with the provisions of this Scheme as consideration for Amalgamation.

SECTION-IV

a) Without prejudice to the generality of the above and upon the coming into force of the Scheme, all assets, properties, rights, entitlements, benefits, liabilities, contingent liabilities and obligations, whether present and/or future, pertaining to Undertaking of the Transferor Company hereby transferred to and vested in the Transferee Company, shall belong to and be owned. controlled and managed by the Transferee Company, together with charges and encumbrances, if any, thereon.

b) Upon Coming into Force of the Scheme, all statutory licenses. registrations, incentives, tax deferrals and benefits, carry-forward of tax losses, tax credits (including credit of taxes withheld), tax refunds,

subsidies, concession, grants, rights, claims, leases, tenancy rights, permissions, approvals or consents to carry on the operations of the Transferor Company and all rights and benefits that have accrued or which may accrue to the Transferor Company, whether before or after the Appointed Date shall stand vested in or transferred to the Transferee Company, pursuant to the Scheme, without any further act or deed and shall remain valid, effective and enforceable on the same terms and conditions and shall be appropriately mutated by the statutory authorities concerned in favour of the Transferee Company upon vesting and transfer of the business undertaking of the Transferor Company pursuant to this Scheme.

c) Any refund under the tax laws due to the Transferor Company consequent to the return(s) filed and also consequent to the assessment made on the Transferor Company and for which no credit is taken in accounts as on the date immediately preceding the Appointed Date shall also belong to and be received by the Transferee Company.

d) Subject to the provisions of Income Tax Act, 1961 and rules made thereunder, The Transferee Company shall be entitled to such tax benefits, including but not limited to, minimum alternative tax credit, TDS credits, foreign tax credits, including the benefit of brought forward losses or depreciation, of the Transferor Company with effect from Appointed Date. Further, all existing and future benefits/ claim/ relief (including claims relating to bad debts, items covered under Section 43B, Section 40(a)(i) and Section 40(a)(ia), etc.) under the provisions of the Income-tax Act, 1961 shall be available to the Transferee Company in the same manner and to the extent as those were available otherwise to the Transferor Company. The Transferee Company shall continue to enjoy tax benefits and concessions provided to the Transferor Company by the concerned authorities.

e) Any refund/credit/claim benefits under any tax laws due to the Transferor Company (including but not limited to advance tax, self-assessment tax, regular assessment tax, service tax, CENVAT. minimum alternative tax, value added tax, central sales tax, goods and services tax,

etc.) shall belong to and be received by the Transferee Company. Without prejudice to the generality of the aforesaid provisions, all the benefits under the various incentives scheme and policies that the Transferor Company is entitled to, in relation to its operations, shall upon the scheme becoming effective and with effect from the Appointed Date be transferred to and vested in the Transferee Company and all benefits, entitlements and incentives of any nature whatsoever, including minimum alternative tax credit entitlements, TDS credits, foreign tax credits shall be claimed by the Transferee Company and these shall relate back to the Appointed Date as if the Transferee Company was originally entitled to all benefits under such incentive schemes and/ or policies provided such schemes or benefits do not get curtailed due to corporate restructuring or if such schemes impose as a condition to obtain prior approval or permission for merger.

f) Where for any reasons, any part of the Scheme is not sanctioned or gets sanctioned with modifications, if any, the Scheme shall be construed accordingly and only that part of the Scheme that is not sanctioned shall not apply and other parts shall be construed, given effect and implemented accordingly after giving due effect in all respects to the part that has not been sanctioned and to the part that has been modified.

g) The above provisions shall have effect notwithstanding anything to the contrary contained in any instrument, deed or writing or the terms of sanction; all of which instruments, deeds or writings shall stand modified and/or superseded by the foregoing provisions.

(9) The procedure that will be followed by the Applicant Companies in respect of Legal Proceedings, Contracts, Deeds, Bonds, Schemes and other instruments are detailed on page Nos.17-18 of Volume 1 and page Nos.13-15 of Volume 2.

(10) **Position as to Charges:**

a) The transfer/vesting of the Undertaking of the Transferor Company as provided above shall be subject to existing charges/encumbrances/

hypothecation/mortgage (if any as may be subsisting or may be created) over or in respect of the said assets or any part thereof. Presently there is no charge to the properties of the Transferor Company.

b) The Scheme does not envisage any modification or dilution to the extent or operation or scope of any of the subsisting charges, if any, upon the properties of the Companies.

(11) **<u>Accounting Treatment in the books of Transferee Company:</u>**

Upon the Scheme becoming effective, the Transferee Company shall account for the Amalgamation of the Transferor Company in its books of account, in accordance with "Pooling of Interests Method" laid down in Appendix C of Ind AS-103 (Business Combinations of entities under common control) notified under Section 133 of the Companies Act, 2013 read together with the Companies (Indian Accounting Standard) Rules, 2015, as may be amended from time to time, such that:

i. The Transferee Company shall record all assets, liabilities and reserves of the Transferor Company vested in it pursuant to this Scheme, at their respective book values and in the same form as appearing in the financial statements of the Transferor Company. The identity of the reserves of the Transferor Company shall be preserved and the Transferee Company shall record the reserves of the Transferor Company, at the book values thereof and in the same form in as appeared in the financial statements of the Transferor Company.

ii. In case of any differences in accounting policy between the Transferor Company and the Transferee Company, the accounting policies followed by the Transferee Company shall prevail to ensure that the financial statements reflect the financial position based on consistent accounting policies and the impact of such differences shall be adjusted in the revenue reserves of the Transferee Company.

iii. The inter-company balances between the Transferor Company and the Transferee Company, if any appearing in the books of the Transferee Company shall stand cancelled and there shall be no further right or obligation in that behalf.

iv. The Transferee Company shall record the equity shares issued to the shareholders of the Transferor Company in accordance with the Clause 4.38 of the Scheme at nominal value.

v. The surplus, if any arising after taking the effect of clause 4.33.1 above and after giving the effect of the adjustments referred to in clause 4.33.3 above and over the face value of equity shares issued and recorded in the books of the Transferee Company as per clause 4.33.4 above, shall be transferred to the Capital Reserve in the financial Statements of the Transferee Company and shall be presented separately from other capital reserves with disclosure of its nature and purpose in the notes to the financial statements of Transferee Company. In case there is a deficit, the same shall be adjusted against the capital or revenue reserves of the Transferee Company, in that order, and balance if any, shall be presented as 'Amalgamation Adjustment Account' under 'Other Equity.

vi. Prior period financial information in the financial statements of the Transferee Company shall be restated for the accounting impact of Amalgamation, as if the Amalgamation had occurred from the beginning of the preceding period, irrespective of the actual date of the combination.

(12) It is submitted that the treatment of staff and employees of Transferor Company who are in its employment and employee benefit fund/scheme as on the Appointed Date till the effective date are detailed on page Nos.20 of Volume 1 and page No. 17 of Volume 2. It is also clarified that for the purpose of the said fund/scheme, the service of the employees of the Transferor Company will be treated as having been continuous with the Transferee Company from the date of employment as reflected in the records of the Transferor Company.

(13) **Conduct of Business by Transferor Company till effective date:**

With effect from the Appointed Date and up to the Effective Date:

a) The Transferor Company shall carry on and shall be deemed to carry on all their activities for and on account of and in trust for the Transferee Company.

b) It is clarified that all taxes (including, without limitation, income tax, sales tax, service tax, VAT, Central Goods and Service Tax law, State Goods and Service Tax law and Integrated Goods and Service Tax law) paid or payable by the Transferor Company before the Appointed Date shall be on account of the Transferor Company and in so far as it relates to the tax payment (including, without limitation, income tax, sales tax, service tax, VAT, Central Goods and Service Tax law, State Goods and Service Tax law and Integrated Goods and Service Tax law any advance tax paid / Tax Deduction at Source) whether by way of deduction at source, advance tax or otherwise howsoever, by the Transferor Company in respect of profits or activities or operation of the Transferor Company as on the Appointed Date, the same shall be deemed to be the corresponding item paid by the Transferee Company, and, shall, in all proceedings, be dealt with accordingly.

c) All income or profit accruing to the Transferor Company and all expenses or losses incurred by it shall for all purposes be treated as income, profits, expenses and losses as the case may be of the Transferee Company.

d) Until the Effective Date, the Transferor Company shall not, without the concurrence of the Board of Directors of the Transferee Company, alienate, charge, encumber or otherwise deal with its Undertaking or any part thereof except in the ordinary course of business.

e) Until the Effective Date, the Transferor Company shall not make any further issue of shares or any other instrument convertible into shares at a price or conversion price, as the case may be, which is below the price at which the shares of the Transferee Company are intended to be issued to the Eligible Shareholders in pursuance of the Scheme.

f) Until the Effective Date, the Transferor Company shall not without the prior written consent of the Board of Directors of the Transferee Company:
   - undertake any material change in its business and businesses and other assets; issue any new shares by way of rights, bonus or otherwise.

(14) **Consequential matters relating to tax and compliance with Law:**

a) Upon the Scheme becoming effective, the Transferee Company is expressly permitted to revise its income-tax returns, Goods and Services tax, sales tax returns, other tax returns, and to restore as input credit adjusted earlier or claim refunds/credits.

b) The Transferee Company is also expressly permitted to claim refunds, credits, including restoration of input tax credit under Goods and Services Tax, tax deduction at source for Income tax in respect of nullifying of any transaction between the Transferor Company and Transferee Company.

c) In accordance with the Goods and Services Tax Act and Rules made thereunder, as are prevalent on the Effective Date, the unutilized input tax credits paid on inputs/capital goods/input services lying in the accounts of the Transferor Company shall be permitted to be transferred to the credit of the Transferee Company, as if all such unutilized credits were lying to the account of the Transferee Company. The Transferee Company shall accordingly be entitled to set off all such unutilized credits against the Goods and Services Tax payable by it.

d) Upon the Scheme becoming effective, unabsorbed tax losses and unabsorbed tax depreciation, any Software Technology Parks of India (STPI) benefits of the Transferor Company, if any, till the Appointed Date, would accrue to the Transferee Company in accordance with the provisions of the Income Tax Act, 1961.

e) This Scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under the tax laws, including Section 2(1B) and other relevant sections of the Income tax Act, 1961. If any terms or provisions of the Scheme are found to be or interpreted to be inconsistent with any of the said provisions at a later date, whether as a result of any amendment of law or any judicial or executive interpretation or for any other reason whatsoever, the aforesaid provisions of the tax laws shall prevail. The Scheme shall then stand modified to the extent determined necessary to comply with the said provisions. Such modification will however not affect other parts of the Scheme. The power to make such

amendments as may become necessary shall vest with the Board of Directors of the Transferee Company, which power shall be exercised reasonably in the best interests of the companies concerned.

(15) **Position of Authorised Capital of Transferee Company:**

(i) The Authorized Share Capital of the Transferee Company shall, upon Coming into Force of the Scheme, ipso facto, without any further act, deed or thing however subject to payment of differential registration fee or stamp duty, if any for registration of such increase in authorised share capital. stand increased by the addition thereto of the Authorised Capital of the Transferor Company such that the Authorized Capital of the Transferee Company on the Scheme becoming effective shall be INR 255,625,000/- (Indian Rupees Two Hundred Fifty-Five Million Six Hundred and Twenty-Five Thousand Only) divided into 25,562,500 (Twenty-Five Million Five Hundred Sixty-Two Thousand and Five Hundred) Equity Shares of Rs. 10/- (Indian Rupees Ten Only) each.

(ii) The filing of the orders of the Tribunal, by the Transferor Company and the Transferee Company together with the sanctioned Scheme with the office of the Registrar and registration of the said orders by the Registrar and payment of differential registration fee or stamp duty, if any, for the increase of the Authorized Share Capital shall be deemed to constitute sufficient compliance of the provisions of the Act in respect of such increase in the Authorized Share Capital of the Transferee Company.

(iii) The Transferee Company shall be entitled to mention at all appropriate places including all its financial statements and books, statements and all other records and wherever else required, the said increased Authorized Share Capital Upon Coming into Force of the Scheme.

(iv) Upon Coming into Force of the Scheme, without any further act or deed on the part of the Transferee Company, the Authorized Share Capital mentioned in the capital clause of the Memorandum of Association of the Transferee Company shall reflect the aforesaid increased Authorized Share Capital of the Transferee Company and the said capital clause shall read as follows:

"The Authorised Share Capital of the Company is INR 255,625,000/- (Indian Rupees Two Hundred Fifty-Five Million Six Hundred and Twenty-Five Thousand Only) divided into 25,562,500 (Twenty-Five Million Five Hundred Sixty-Two Thousand and Five Hundred) Equity Shares of Rs. 10/- (Indian Rupees Ten Only) each."

(16) **Issue of shares by the Transferee Company to eligible shareholders:**

i. Upon the Coming into Force of the Scheme, in consideration of the transfer and vesting of the Undertaking of the Transferor Company in the Transferee Company, the Transferee Company shall, subject to the provisions of the Scheme and without any subscription, agreement, application, action or deed, issue and allot to Eligible Shareholders of the Transferor Company (a) 134 (One Hundred and Thirty-Four) fully paid up equity share of Rs.10/- (Indian Rupees Ten Only) each, credited as fully paid- up in the Capital of the Transferee Company against every 100 (One Hundred) equity shares of Rs.10/- (Indian Rupees Ten Only) each held by the Eligible Shareholder in the Transferor Company.

ii. For this purpose, the share exchange ratio has been arrived at in accordance with generally accepted valuation norms by Weighted Equity Value as per the Share Valuation Report dated September 24, 2024 adopted by the Board of Directors of the Transferor Company on September 27, 2024 and the Board of Directors of the Transferee Company on September 30, 2024.

iii. In respect of any fractional entitlements of Eligible Shareholders of the Transferor Company, the fractional entitlement shall be rounded to the next whole number as explained herein. Where for any such fraction, then, the fraction be rounded off to the succeeding whole number and accordingly, the Transferee Company shall allot one share thereto.

iv. For this purpose, those shareholders whose names are found in the Register of Members of the Transferor Company on the Effective Date shall be taken as the Eligible Shareholders of the Transferor Company.

v. It is submitted to illustrate the application of share exchange ratio and the consequent fractional entitlement that might arise, the shareholding pattern of the Transferor Company that is at present is considered:

Thus, in accordance with the above Share Valuation Report, the proposed issuance of Equity Shares of the Transferee Company to the Eligible Shareholders of the Transferor Company would be as follows:

Sl.No	Name of the Shareholder	Number of Equity Shares (face Value of Rs.10/- each)	Number of Equity Shares (face value of Rs.10/- each) that would be issued as per share exchange ratio
1.	XL Health Corporation (including the 2 equity shares held by UnitedHealth International Inc. As a nominee of XLHealth Corporation to meet the minimum number of shareholders)	1,00,000	1,34,000
	T O T A L	**1,00,000**	**1,34,000**

vi. It is submitted that upon Coming into Force of the Scheme and if the Eligible Shareholders of the Transferor Company hold shares as stated in the shareholding pattern above, the number of shares to be issued would be as follows:

Name of the Shareholder	Number of Equity Shares (face Value of Rs.10/- each)
XL Health Corporation (including the 2 equity shares held by UnitedHealth International Inc. As a nominee of XLHealth Corporation to meet the minimum number of shareholders)	1,34,000
T O T A L	**1,34,000**

vii. The equity shares to be allotted as aforesaid, shall rank for dividend, voting and all other rights pari passu with the existing equity shares of the Transferee Company.

viii. The Eligible Shareholders of the Transferor Company shall surrender to the Transferee Company, the certificates of their shareholding in the Transferor Company for being cancelled and for issuance of new shares as aforesaid in lieu thereof exchange by Transferee Company. In case of default by any of the Eligible Shareholders to surrender their share certificates as aforesaid, upon issue and allotment of new shares by the Transferee Company to the Eligible Shareholders, the share certificates in

relation to the shares held by them in the Transferor Company shall be deemed to have been cancelled.

(Copy of the Scheme of Amalgamation is at Annexure – B)

17) The Report on valuation of shares of the Transferor Company and the Transferee Company issued by Independent Chartered Accountant in terms of Section 232(2)(e) of the Companies Act, 2013 arriving at the exchange ratio for issue of shares by the Transferee Company to the shareholders of the Transferor Company.

(Copy of Report on valuation of shares issued by M/s. Ernst & Young Merchant Banking Services LLP is at Annexure – C).

18) The Certificates issued by the Auditors of the Transferor Company and Transferee Company that the aforesaid Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013.

(Copy of the original certificates of M/s. Walker Chandiok & Co LLP, Auditor is at Annexure – D).

19) The Transferee Company states that its Board at its meeting held on September 30, 2024 and the Board of the Transferor Company in their meeting held on September 27, 2024, approved the Scheme of Amalgamation of the Transferor Company with the Transferee Company. The shareholders' list is drawn on the basis of the Register of Members maintained by the Transferee Company and Transferor Company and is as on September 30, 2024 and September 27, 2024, respectively.

(Certificate of an Independent Chartered Accountant verifying the list of shareholders of the Transferor Company and Transferee Company in original is at Annexure – E).

20) It is submitted that both the shareholders of the Transferor Company and Transferee Company have provided their respective consents to the Scheme of Amalgamation by means of consent affidavits.

(Copies of consent affidavits of the shareholders in original is at Annexure – F).

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21) The Applicant Companies submits that no investigation proceedings are pending against the Transferor Company and Transferee Company under the provisions of the Companies Act, 2013.

22) The Applicant Companies submits that the sanctioning of the Scheme of Amalgamation will be for the benefit of the Transferor Company and Transferee Company and their respective shareholders and creditors. It is also submitted that the Scheme of Amalgamation will not be prejudicial to public interest.

O R D E R

23) After hearing the Learned Counsel for Applicant Companies and after perusing the documents filed, We therefore pass the following order:-

a. Hereby dispensed with convening of the meeting of the Creditors of the Transferor Company and Transferee Company.

b. Hereby dispensed with the convening of the meeting of the Equity Shareholders of the Transferor Company and Transferee Company.

c. Notwithstanding the above, when the Applicant Companies approach this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the Scheme of Amalgamation to put forth their contentions before this Tribunal.

d. Accordingly, the Company Application **CA (CAA) No.32/230/HDB/ 2024** is allowed and disposed of.

Sd/-	**Sd/-**
(Sanjay Puri)	**(Rajeev Bhardwaj)**
Member (Technical)	**Member (Judicial)**

Vinod